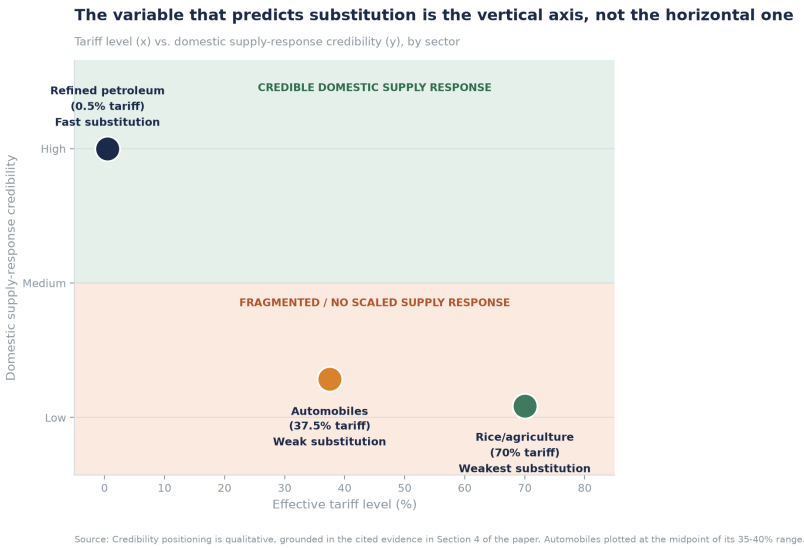


Tariffs Without a Strategy

Nigeria's tariff policy across refined petroleum, automobiles, and rice, 2023-2025

Tariff level does not predict import-substitution outcome. A credible domestic supply response does.

Refined petroleum
~0.5% tariff → fastest substitution
A single well-capitalized asset (Dangote Refinery, ~85% utilization by mid-2025) displaced imports 42% in 2025, with almost no tariff support. The one dedicated duty of the period was suspended within three weeks.
Automobiles
35-40% tariff → weak substitution
A tariff wall built specifically to reward local assembly produced a verified 29.0% aggregate capacity utilization across 34 licensed firms — and a policy framework that has never acquired the force of law.
Rice / agriculture
70% tariff → weakest substitution
The heaviest tariff of the three, and the least effective. Rice was Nigeria's single most-smuggled commodity in Q1 2025, despite decades of protection.



Plotted this way, the three sectors separate cleanly along the vertical axis (supply-response credibility), not the horizontal one (tariff level). That is the whole argument in one chart: protection without a credible domestic supply behind it does not produce substitution, and a credible supply response can substitute imports with almost no protection at all.

The variable that predicts outcomes is not the tariff line. It's whether a credible, scaled domestic supply response exists behind it — a single large asset in petroleum, a fragmented base of 34 under-scaled firms in automobiles, and a still-fragmented milling sector with porous enforcement in rice.